

times brought by delegated agents. Asset allocation, the practice of choosing appropriate asset classes and investments, is actually factor management.

The viewpoint of this book is that of the asset owner. I discuss banks, insurance companies, and other financial enterprises, but I see them as intermediaries to the largest owners of assets: nations, through sovereign wealth funds, collective owners like pension funds, endowments, and foundations, down to individuals and families. All the topics are presented from the asset owners' perspective.

This book is opinionated. There are active, and important, debates on many of the topics in this book. I expect many will disagree with me on some points, and this is as it should be. The greatest compliment you can give me is to become a better investor as the result of reactions elicited by my analysis.

I've written the book for a wide audience. Even if you don't understand all of the mathematics, I emphasize intuition and application. Since I teach in a business school, and cases are an important way of putting lessons in context, I've started each chapter with a real-life setting. The book is anchored by the case studies I've written.

I recommend that if you are a trustee, director, or similar individual charged with safe-keeping funds on behalf of others, and you want to avoid mathematical and statistical analysis, then you should read chapter 1: Asset Owners; chapter 14: Factor Investing; and chapters 16 through 18 on Mutual Funds and Other 40-Act Funds, Hedge Funds, and Private Equity, respectively. Many trustees are grappling with how to manage commodity investments and illiquid assets, and although both chapter 11: "Real" Assets and chapter 13: Illiquid Assets contain some equations, most of the material should be accessible to investors without a technical background.

If you manage funds for a living—either as an asset owner or as a delegated fund manager for an asset owner—then I encourage you to add chapter 2: Preferences. My pet peeve is that we rely too much on mean-variance optimization in asset management, and this chapter emphasizes the variety of different preferences held by investors. I do look at the mean-variance paradigm in chapter 3: Mean-Variance Investing, but do it with a twist to cover socially responsible investing and "risk parity," a method of allocating to asset classes based on volatilities that is becoming popular. Then read chapter 4: Investing for the Long Run, which covers dynamic portfolio choice and chapter 10: Alpha (and the Low Risk Anomaly), which is probably what you're trying to find in your asset management job. The low risk anomaly is a special interest of mine. Look through chapters 6 to 9, which discuss the nuts and bolts of factor risk: Factor Theory, Factors, Equities, and Bonds, respectively. The last two asset classes I consider to be investable factors in their own right.

Individuals will find chapter 5: Life-Cycle Investing and chapter 12: Tax-Efficient Investing relevant. In the former, I show how to optimally save during our working lives to fund retirement. The latter deals with allocating assets to